

Impulse Cheat Sheet

Base Point:

- MACD Positive Divergence & MACD Lowest Low,
- Zero Touch Point & Mid Point of 1 year data (Cash)

Wave 1:

- Fib Retrace of Imp high to Imp low -on 61.8% to complete W1 (Degree).
- W1 may be 127% of High to Low. should be 1 move (min) & 5 move to complete Degree.
- W1 can be Leading Diagonal (LD) & can be **Extension** of 21 moves.
- If W1 is an **Extension**, W3 and W5 would have same length (RoE).

Wave 2:

- If W1 is Ideal/normal (12345), then W2 can retrace 23.8%, 38.2%...61.8% 81.2% (Max) in ¼, ½, equal or double of W1.
- If W1 is in LD, W2 can retrace 61.8 (Min) – 81.2 (Max) in ¼ or ½ time of W1.
- If W1 is in Extension, W2 can retrace max 50% & can take more time of W1.

Wave 3:

- W3 will be an **Extension** if W1 and W2 are in Microscopic ($W1+W2=13\text{Max}$). Extn forms in W3 max time. It has 3 nature (RoE, RoExtn & RoGolden Extn)
- Price reach min 61.8 (Terminal W3), 100 (RoE) and 161.8 (Trending W3) & 261.8 (Max) within the time of W1 & W2 Max.
- If W3 is taking more time & still didn't break 38.2% then it can move into extn.

Wave 4:

- If W3 is **Normal**, then W4 can retrace **Max 50%** within **half** or **double** of W2 and should match Rule of Alternation.
- If W3 is in **Extension**, then W4 can retrace **Max 38.2%** and take 10 times of W2 (In microscopic).
- RoA will not match and W4 might be Fast or Slow
- If W2 is slow then W4 will be Fast.

Wave 5:

- **W5 will be SLOW** i.e. Terminal Impulse – Ending Diagonal if W4 is FAST
- **W5 will be FAST** and touch 127% and maximum 261.8% if W4 is SLOW
- Wave 5th is in extension (Megaphone) if W1 & W3 are in same length.
- If Wave 5th is in ED, then it will be 3-3-3-3 moves.

* **Time:** $(W2+W3)/2$ mostly work

* **Price:** 127% (min) to 261.8%

• **Normal:** 61.8 (Min), (100 RoE) & 161.8% , **261.8 (Max)** within $W1+W3$ with 5 variance.

• **W1 LD:** **61.8% Max** in (Timing) & Can enter into W1

Imp High

61.8%

Imp Low

* **Normal:**

> **23.8, 38.2%** .. 61.8 & **81.2%** in **1/4, 1/2, equal** or **double** times of W1
> RoA should match with 5% variance

* **Extension:** **50% Max** & take **More times** of W1

* **LD:** Min **61.8%-81.2% (Max)** in **1/4, 1/2, equal** or **double** times of W1

- MACD & Positive Diversion
- 0 Touch Point

Zig-Zag Correction (5-3-5) –Price Wise Correction

Rule:

- Price must reach 127% to complete W5 & break W4 while falling.

Wave (A)

- Price must fall **Min 61.8% - 100%** of W4 (Single Leg [4-5] to start A
- A can be LD and can be Extension of 9-13

Wave (B)

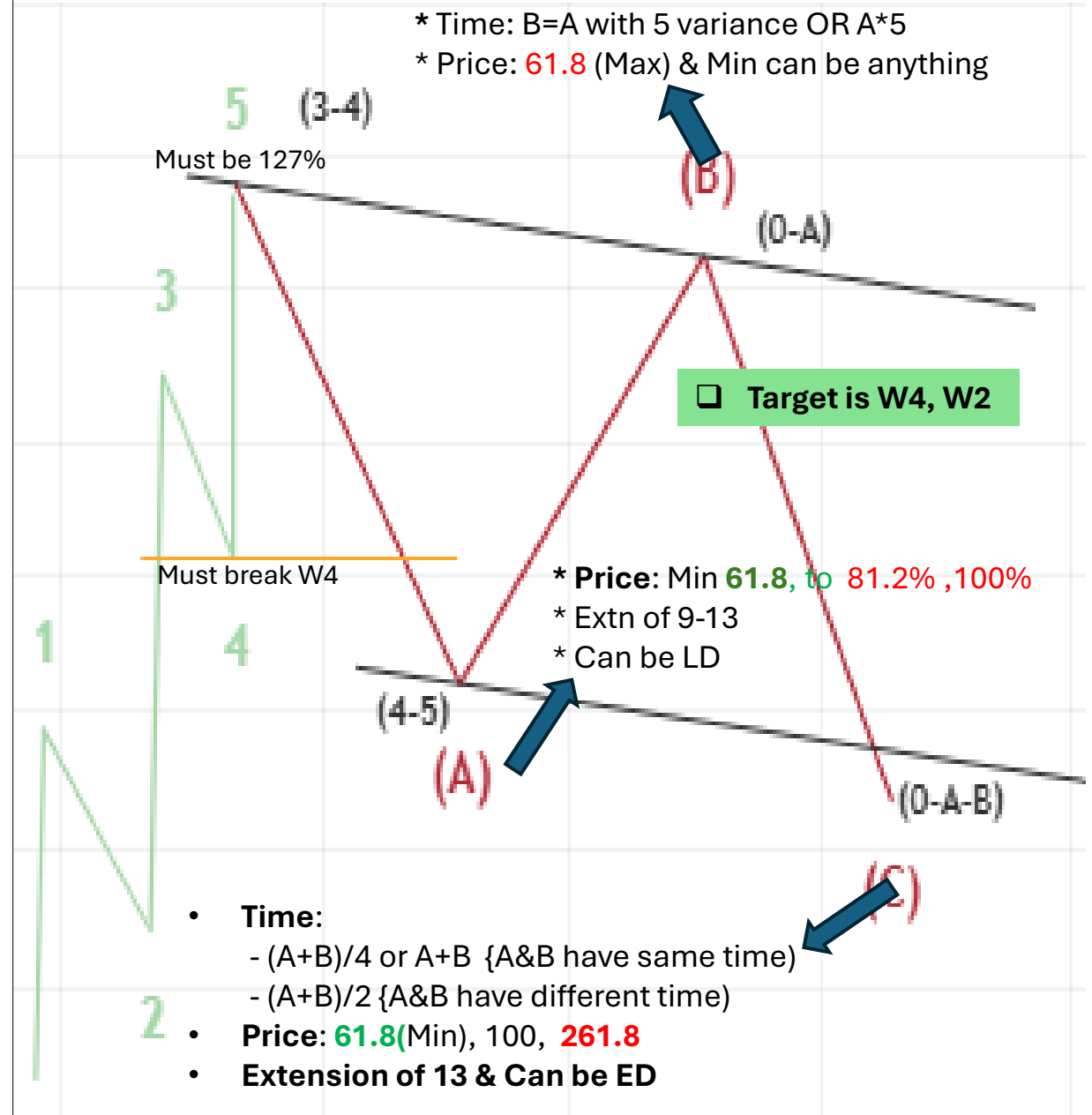
- B takes min **Equal time of A** and Max **5 times of A**. (Rarely takes 10 times during Triangle / Tripple Correction.)
- B can retrace **Max 61.8%** (Min can be anything). If price retrace till 81.2%, then count 123 instead of ABC
- B can be 9 moved but will considered as 1**
- B also can be identified using MACD.**

Wave (C)

- C takes time of $(A+B)/4$ or $A+B$ (if A & B have equal time)
 $(A+B) / 2$ (if A & B took different time)
- C can retrace **Min 61.8% - 261.8%(Max)** & can be **extension** of 9-13
- C Failure:** if price return from 38.2% and cross 81.2% of Fib Retrace B (0-A) else further move. So always keep the retracement of B & C

Guidelines

- Don't mark A until price fall till Min 61.8% since A will decide whether the correct is Zig-Zag or FLAT.
- Apply **Trendline (0-B)** once the price/time fulfilled. If the price **Break TL(0-B) within half time of A+B** or **Full retrace till B in same time of B-C** then **correction is over**.
- How to Trade in C:** Mark $(A+B)/4$ candle, if the price break low of this candle then it will move further till 261.8%.
- Zig-Zag correction forms less frequency based of News, Events, Results etc.



FLAT Correction (3-3-5) –Time Wise Correction

Rule:

- Price must reach 127% to complete W5 & break W4 while falling.

Wave (A)

- Price will fall **Max 61.8%** of W4 (Single Leg [4-5]. Rarely fall till 81.2%)
- A can be LD and can be Extension of 9-13

Wave (B)

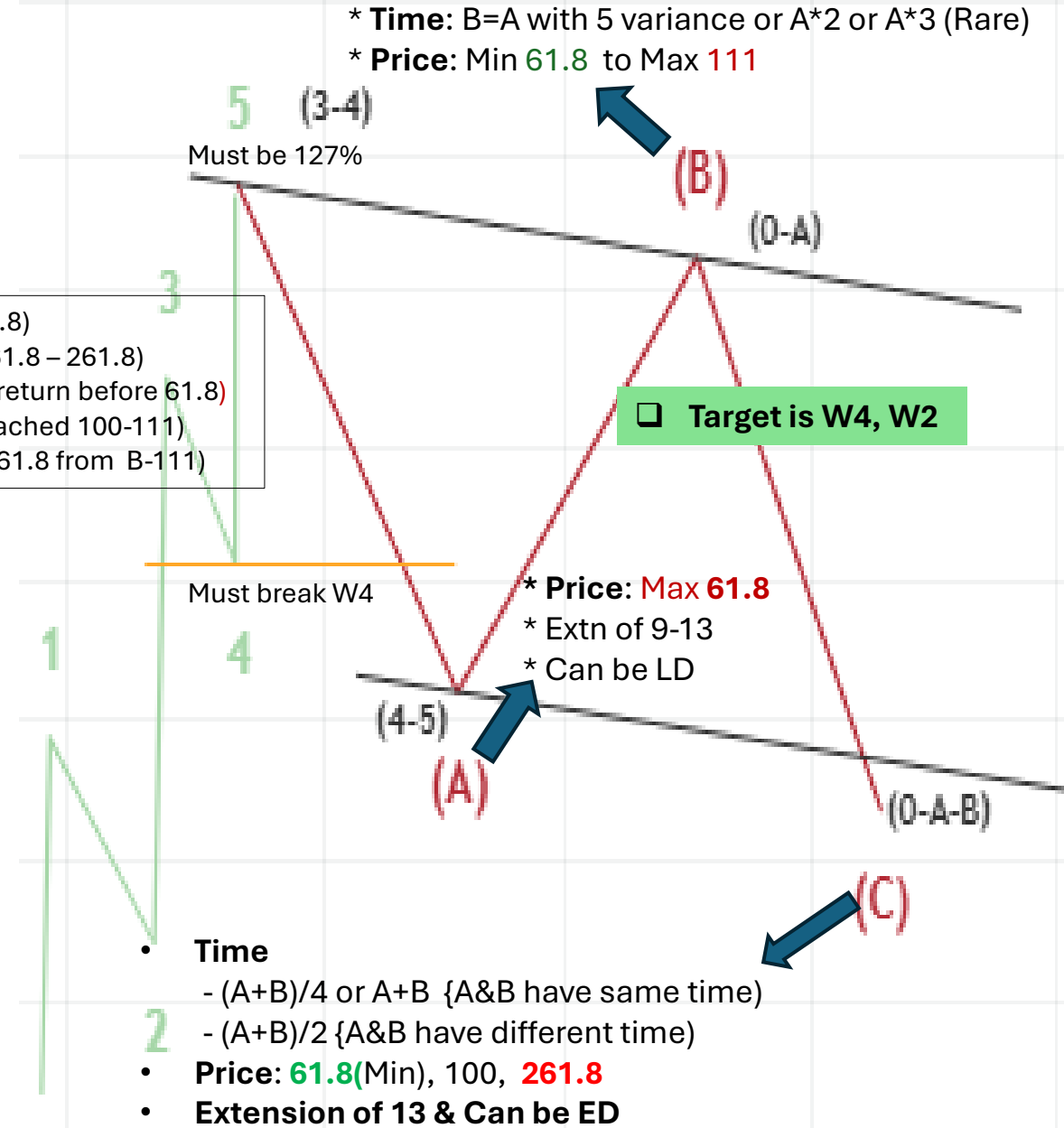
- B will take Min **Equal time of A** and Max **2 times of A. (A*3 rarely)**
- B can retrace **Min 61.8% - Max 111%. (Corrective Rise)**
- B can be 9 moved but will considered as 1**
- B also can be identified using MACD.**

Wave (C)

- C takes time of **(A+B)/4** or **A+B** (if A & B have equal time)
 $(A+B) / 2$ (if A & B took different time)
- C can retrace **Min 61.8% - 261.8%(Max)** & can be **extension** of 9-13
- C Failure:** if price return from 38.2% and cross 81.2% of Fib Retrace B (0-A) else further move. So always keep the retracement of B & C

Guidelines

- Don't mark A until price fall till Min 61.8% since A will decide whether the correct is Zig-Zag or FLAT.
- Apply **Trendline (0-B)** once the price/time fulfilled. If the price break TL(0-B) within half time of A+B OR Full retrace till B in same time of B-C then **correction is over.**
- How to Trade in C:** Mark (A+B)/4 candle, if the price break low of this candle then it will move further till 261.8%.
- If FLAT correction forms at TOP then its called **Corrective Rise**
- If A is speed and B is speed then C will be SLOW and take time of A+B
- If price moves & cover 89% or 100% in less time of A, then it indicates the TRIANGLE pattern.



Triangle (3-3-3-3-3) [Form only at W4 or B] {Last Correction}

Rule for Contracting

- Three waves must undergo retracement exceeding 50% of preceding wave's length. (Min 50% retracement of its previous wave for B,C & D)
- Both the Trendline will have max 5 touch points.
- Wave 3 should be an extension and in Zig-Zag (Not Flat) & always use Candlestick pattern
- To identify Triangle, price must full retrace or beyond within the same/less time of A till B.
- A must be in 38.2% to 61.8% (Wider) and remaining waves must be smaller than its previous wave.
- **The retracement of E wave typically hovers around 38.2%**

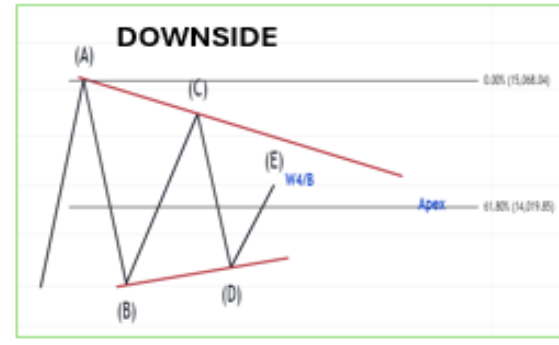
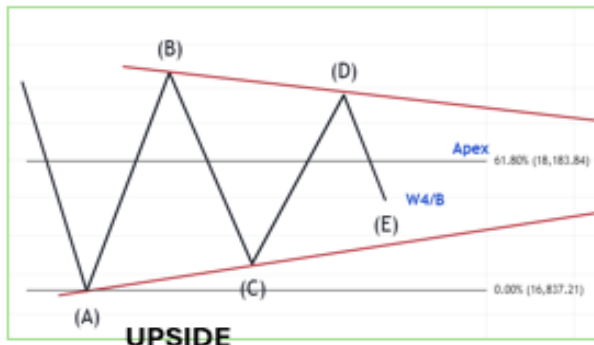
Rule for Expanding

- Wave A and B will be always smaller and E will be largest.
- Can't form in Wave B in Zig-Zag or B,C or D in large Triangle.
- E will be time consuming, complex. Almost break TL of A-C
- Wave B, C and D must retrace min 50% of its previous wave.

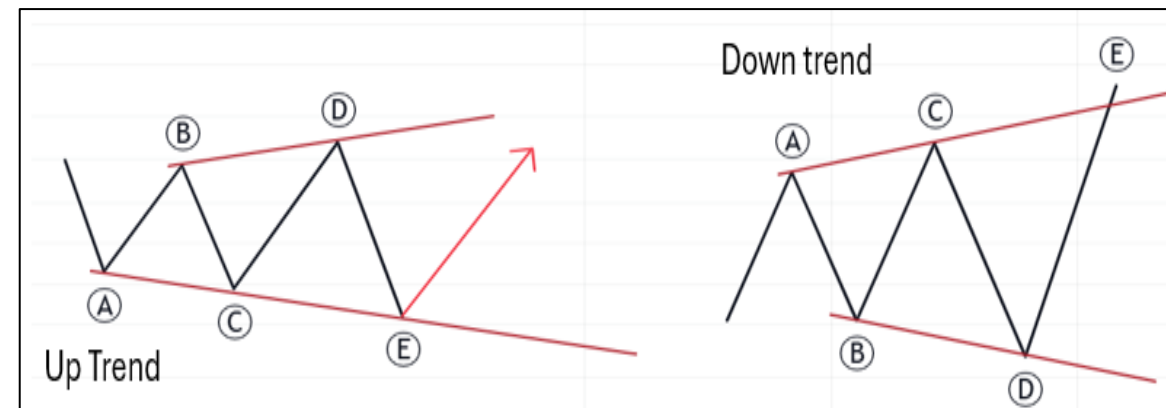
After Completion of Triangle

Price must reach 75% to 125% Max (extn of 0-A-E)

Contracting Triangle (SLOW)



Expanding Triangle (SPEED)



Double Correction { From Zig-Zag }

Rule:

For double correction,

- Price shouldn't cross TL in half time of B-C OR
- Price shouldn't retrace till B in the same time of B-C.
- In this correction, Price will fall as same as ABC. i.e $ABC = WXY$

Wave (W)

- **W** can form in Flat or Zig-Zag only

Wave (X)

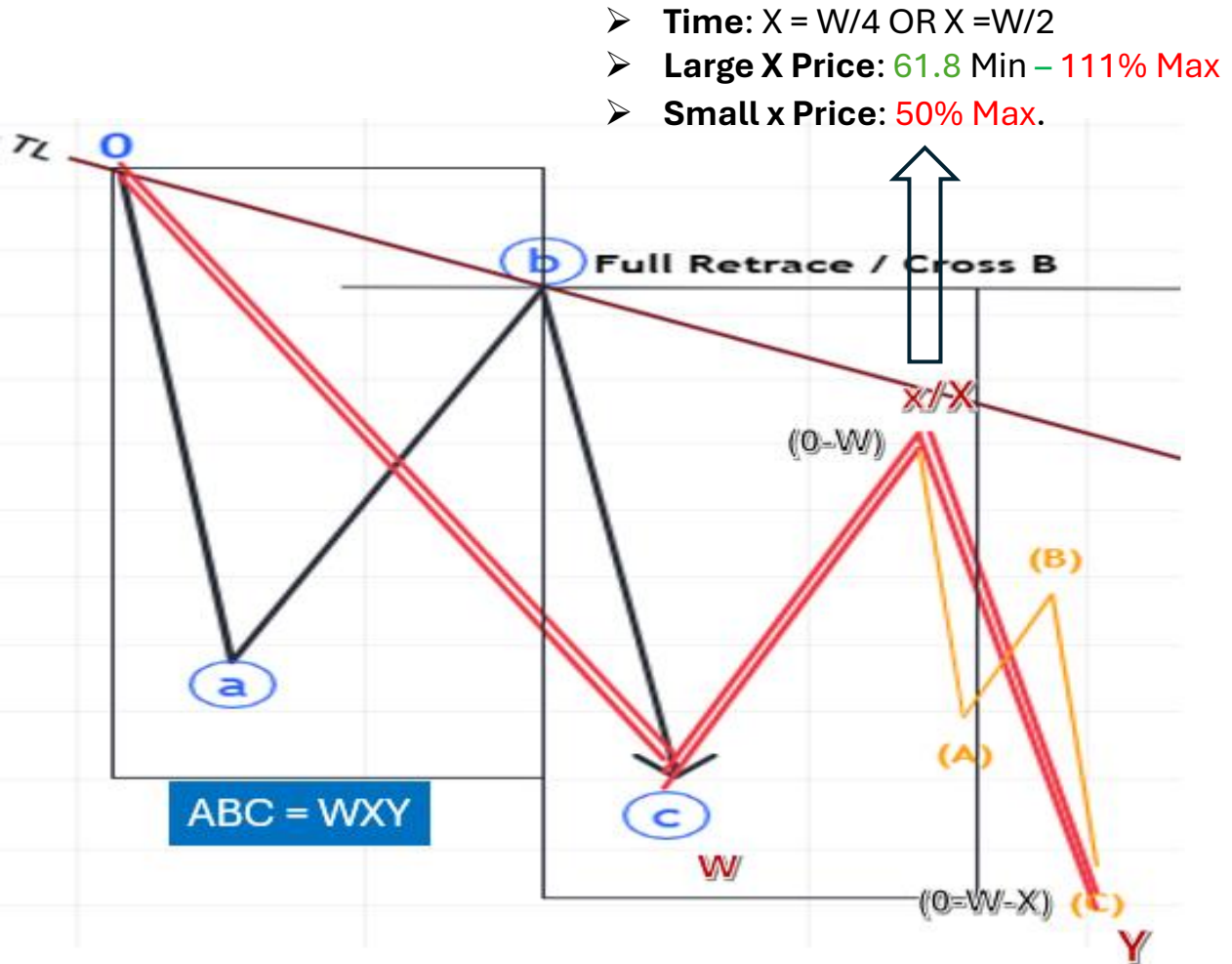
- **x/X** can have max 11 moves but consider as ONE & shouldn't cross B .
- Can enter into Flat/Zig-Zag/double/triple corrections
- **Time:** Can take time of W/4 or W/2
- **Price:** Min 61.8 to Max 111 for Large X & Max 50% for small x

Wave (Y)

- **Y** - can form in Flat/Zig-Zag/Triangle & must always fall below W.
- **Time:** $(W+X)/4$ or $(W+X)/2$ or W
- **Price:** Min 61.8%, 100, 161.8% ..

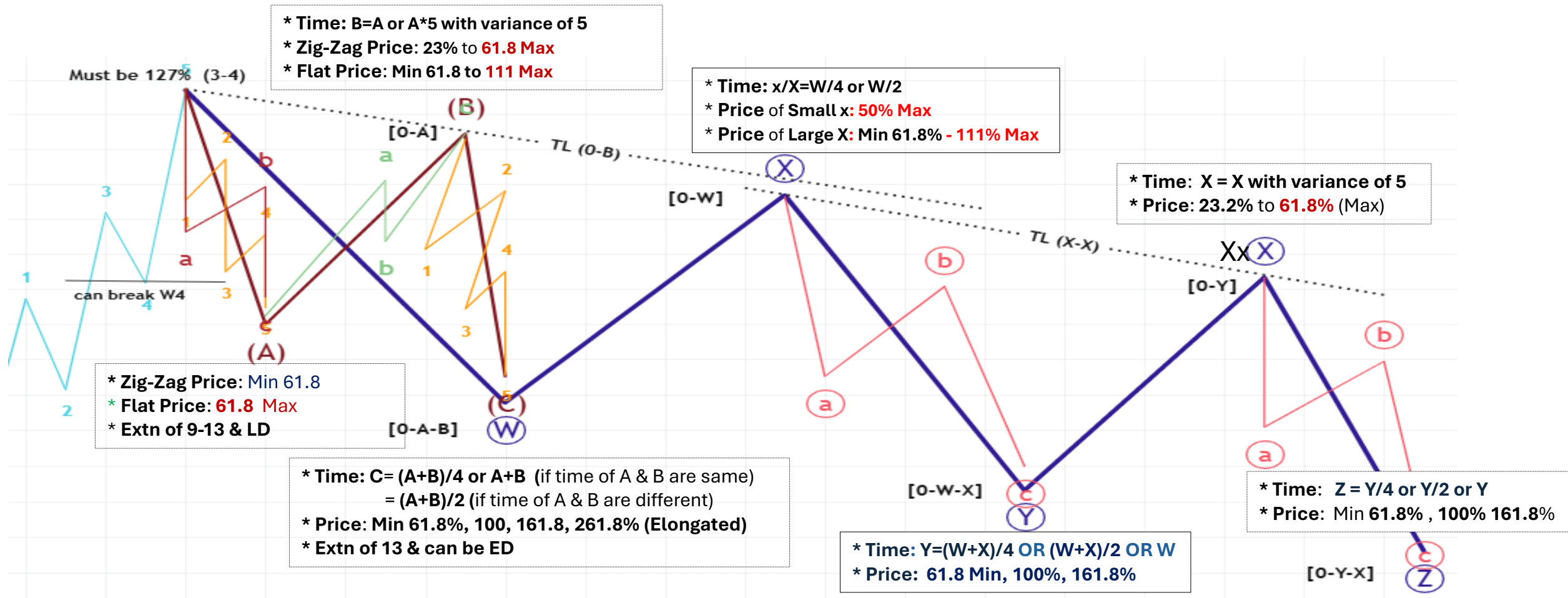
Guidelines

- Don't mark A until price fall till Min 61.8% since A will decide whether the correct is Zig-Zag or FLAT.



- **Time:** $Y=(W+X)/4$ OR $Y=(W+X)/2$ OR $Y=W$
- **Price:** Min 61.8, 100%, 161.8%

Triple Corrections



Rule of Simple Correction: (Zig-Zag/Flat only)

- If price **break TL (0-B)** in **half time of B-C** or **Full retrace till B within the same time of B-C**, then correction is over. Else it will leads towards double corrections and fall as same as ABC. i.e ABC = WXY
- Target will be W4 or W2.

Rule of Double Correction (WXY):

- Double correction will start if simple correction is not over. It has 7 moves (3+1+3)
- **W** (Simple Correction):- Forms in flat/zigzag only.
- **x/X:-** a) Can have 11 moves max but will consider as 1.
b) Shouldn't cross B in ZigZag
c) Can enter into flat/zigzag/double/triple correction.
- **Y:-** Can form in Flat/Zigzag/Triangle and **Must be below W**

Rule of Tripple Correction (WXYXZ):

- Triple correction is the last correction.
- If the **price break TL (X-Xx)** in **1/4 or 1/2 time of (Xx-Z)** OR **reach/cross Xx (Invalidation Point) within the same time of Xx-Z** then correction is over and trend got changed.